SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 5

Marketing Research & Customer Insight

Good marketing decisions need good insight. This week covers customer/market insight, the marketing information ecosystem, competitive intelligence, and the six-step research process: problem definition, approach, research design, data collection (incl. sampling), analysis and reporting.

Material

1 Customer insight and market insight

Insight combines data types into an actionable understanding of behaviour, needs, motivations and trends. Customer insight: behavioural, attitudinal, demographic, psychographic, feedback, online data. Market insight: trends, competition, segments, regulation, economics, technology, culture, supply chains, entry barriers.

A marketing information ecosystem starts by assessing needs, then builds a collect–analyze–act–feedback loop from internal and external sources. Competitive intelligence (observation, employee input, benchmarking, online and social monitoring) gives early warning but raises ethical limits.

2 The six-step marketing research process

Research = systematic design, collection, analysis and reporting for a specific situation. Steps: (1) define the problem — separate the management decision problem from the research problem; (2) approach — theory, models, research questions, hypotheses; (3) design — exploratory (qualitative) vs conclusive descriptive (surveys, observation; cross-sectional or longitudinal) or causal (experiments; internal/external validity; control extraneous variables); (4) fieldwork; (5) analysis; (6) reporting.

3 Three research designs and when to use them

Deep dive

Exploratory
Understand the problem: interviews, FGDs, observation.

Descriptive
Measure who and how much: surveys.

Causal
Prove cause and effect: experiments, test markets.

4 Primary vs secondary, qualitative vs quantitative

Secondary data (collected for other purposes) is cheap and fast but may be irrelevant, inaccurate or outdated — check it first. Primary data is specific but costly. Qualitative = small, exploratory, "why"; quantitative = large, statistical, "how many". Instruments: questionnaires (closed/open) and mechanical tools (people meters, scanners, neuromarketing).

5 Sampling and data analysis

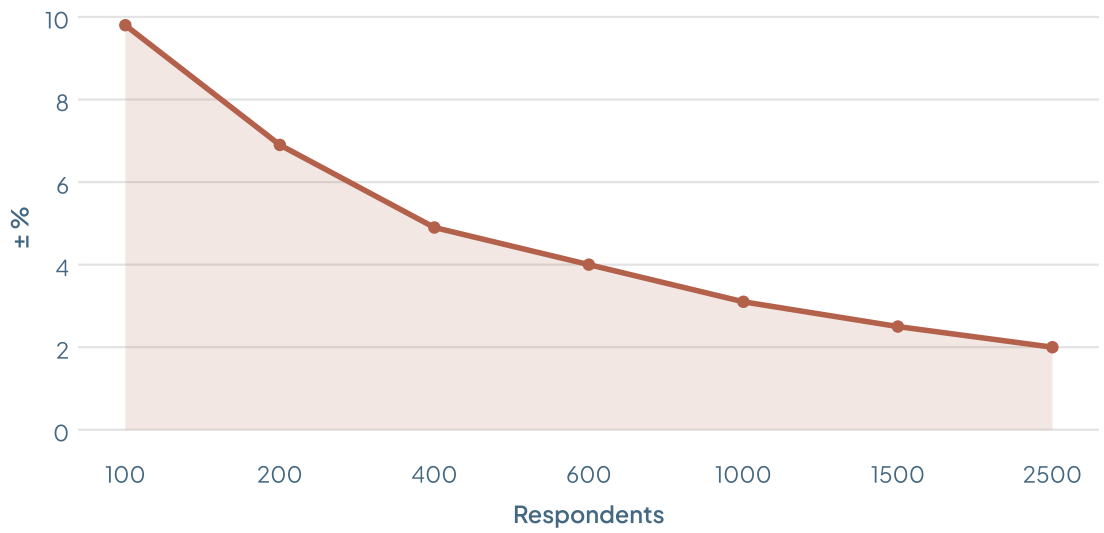
Population, census, sample; design: target population → elements → sampling unit → technique → size. Probability (simple random, stratified, cluster) vs non-probability (convenience, judgment, quota). Typical sizes: market potential 1,000–2,500; pricing/product/test-market 300–500; ad tests 200–300; focus groups 6–15. Prepare data, then analyze: descriptive, inferential, exploratory, predictive, prescriptive, multivariate (see MK6).

6 How many respondents? Margin of error charted

Deep dive

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MoE (95%, p = 50%) ≈ 1.96 × √(0.25 ÷ n)
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Margin of error vs sample size (95%)



Diminishing returns: 100 → 400 halves the error; 1,000 → 2,500 only trims it.

Bigger samples don't fix bad design.

7 Designing the questionnaire and choosing a contact method

The questionnaire is the most-used primary research tool, and also the one most often done badly. Kotler distinguishes **closed-end questions** (pre-set answers — easy to analyse) from **open-end questions** (free answers — rich in insight, hard to process). Open-end questions suit exploratory research; closed-end questions suit descriptive and causal research.

Common mistake	Bad example	Better
Double-barrelled question	"Is Rinso fragrant and cheap?"	Split it: one about scent, one about price
Leading question	"Isn't Daia too cheap to clean well?"	"How would you rate Daia's cleaning power?" (1–5 scale)
Technical/vague wording	"How often do you buy sachet SKUs?"	"In the last week, how many times did you buy sachet detergent?"
Recall too far back	"How many sachets did you buy last year?"	Use a short period (last week) or a shopping diary

Sensitive question first	Income asked first	Put it at the end and use ranges

A good order: an easy, engaging opener → core questions → difficult/personal questions → demographics at the end. Always pre-test with a few respondents before sending it out.

Contact method	Strengths	Weaknesses
Face to face (individual/focus group)	Can probe, see expressions, show the product	Expensive, slow, interviewer bias
Telephone	Fast, can clarify	Many refusals, no visuals
Online (forms, panels)	Cheap, fast, easy to process	Sample skewed to the digitally literate; weak identity control
Observation/ethnography	Sees real behaviour (like Laercio in NE consumers' homes)	Does not explain motives; takes time

Big data, CRM and ethics. Transaction data (for example QRIS at warungs, e-commerce data) is now a major source of insight. CRM systems combine every customer touchpoint to predict needs. But marketers must protect **privacy** (in Indonesia governed by Law No. 27 of 2022 on Personal Data Protection), ask for consent, and not misuse research (for example a "survey" that is really disguised selling).

Key takeaways

1. Insight = the actionable "why" behind data.
2. Information ecosystem = collect–analyze–act–feedback loop.
3. Competitive intelligence is useful but must be ethical.
4. Separate the management decision problem from the research problem.
5. Designs: exploratory, descriptive, causal.
6. Check secondary data first; primary data is specific but costly.
7. Probability vs non-probability sampling; descriptive to prescriptive analysis.

Case studies

Case & worked answers

Application: designing research for the Unilever Indonesia decision (Case 2)

Using Case 2: decision problem "launch a value sub-brand?" → research problem "which attributes and per-wash price make Tier 2/3 homemakers switch from Daia, and how much would come from Rinso/Surf?" Hypotheses on fragrance vs discount and willingness to pay for a Unilever-backed brand. Design: exploratory field interviews (like Brazil's Everyman) → descriptive survey → causal test markets with controls. Secondary data first (BPS, internal sales, QRIS/warung data). Cluster + stratified sampling (~1,000–2,500 respondents; 10–20 warungs per region). Analyze with descriptives, tests, regression/conjoint and a cannibalization simulation. Start from the decision, not from interesting data.

Worked examples

Problem 1 · Easy · **Margin of error**

Survei 400 responden, proporsi yang menjawab "ya" belum diketahui (pakai p = 0,5). Berapa margin of error pada tingkat keyakinan 95%?

1. `MoE = z × √[p(1 - p) ÷ n] = 1,96 × √(0,25 ÷ 400)`
2. √(0,000625) = 0,025.
3. MoE = 1,96 × 0,025 = 0,049 = 4,9%.

Answer: ± 4,9 poin persentase.

Problem 2 · Medium · **Berapa responden yang dibutuhkan?**

Manajer ingin margin of error ±3% (95%). Berapa responden minimal?

1. $n = z^2 \times p(1 - p) \div MoE^2 = 1{,}96^2 \times 0{,}25 \div 0{,}03^2$
2. = 3,8416 × 0,25 ÷ 0,0009 = 1.067,1.
3. Selalu bulatkan ke atas → 1.068. Perhatikan: memperkecil MoE dari 4,9% ke 3% butuh hampir 3× responden.

Answer: ± 1.068 responden.

Practice questions

Try answering first. The answer key is below each question.

1. Proving that a new sachet price lifts sales needs a… design

A. Exploratory
B. Descriptive
C. Causal (controlled test market)
D. Secondary only

Answer: C. Causality needs experiments.

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2. Going from 400 to 1,600 respondents makes the MoE…

A. Quarter
B. Half
C. Same
D. Higher

Answer: B. Error ∝ 1/√n.

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3. Randomly choosing districts then surveying within them is…

A. Simple random
B. Stratified
C. Cluster
D. Convenience

Answer: C. Cluster.

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4. The first step of the research process is…

A. Collect data
B. Define the problem and objectives
C. Analyse
D. Report

Answer: B. Wrong problem = wasted research.

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5. A good customer insight is…

A. Raw sales data
B. A fresh, actionable understanding of motivation
C. A manager's opinion
D. Sample size

Answer: B. It explains why and changes decisions.

Sources

- -P3MD- Week 5–MK3.pdf
- Kotler & Armstrong bab 4